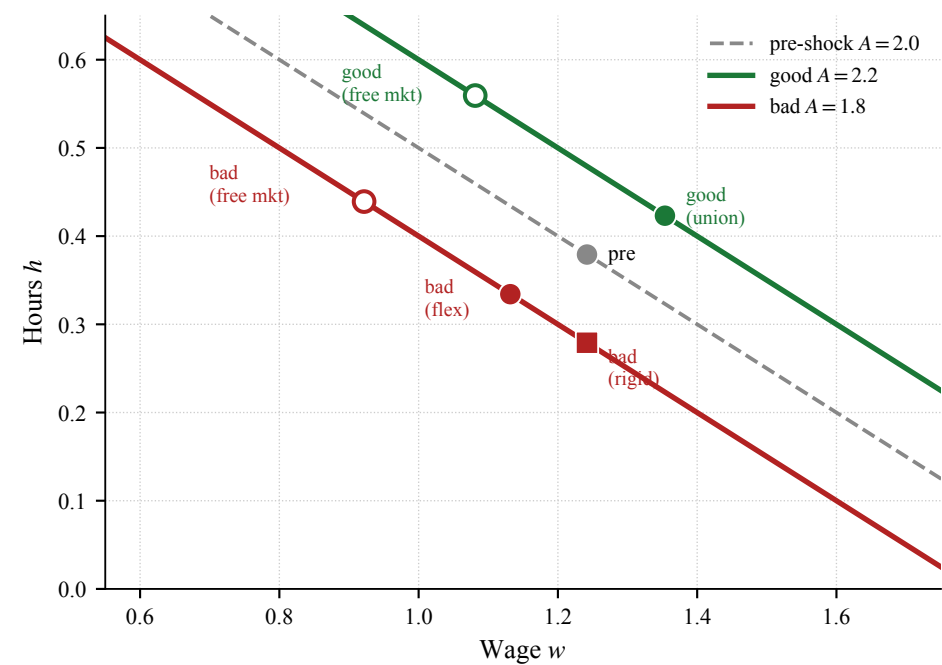
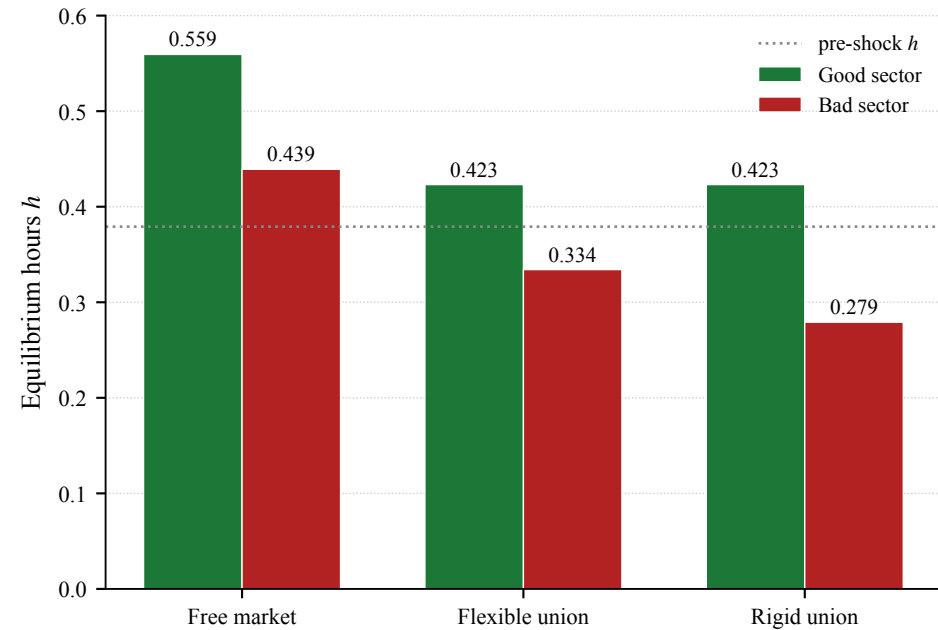
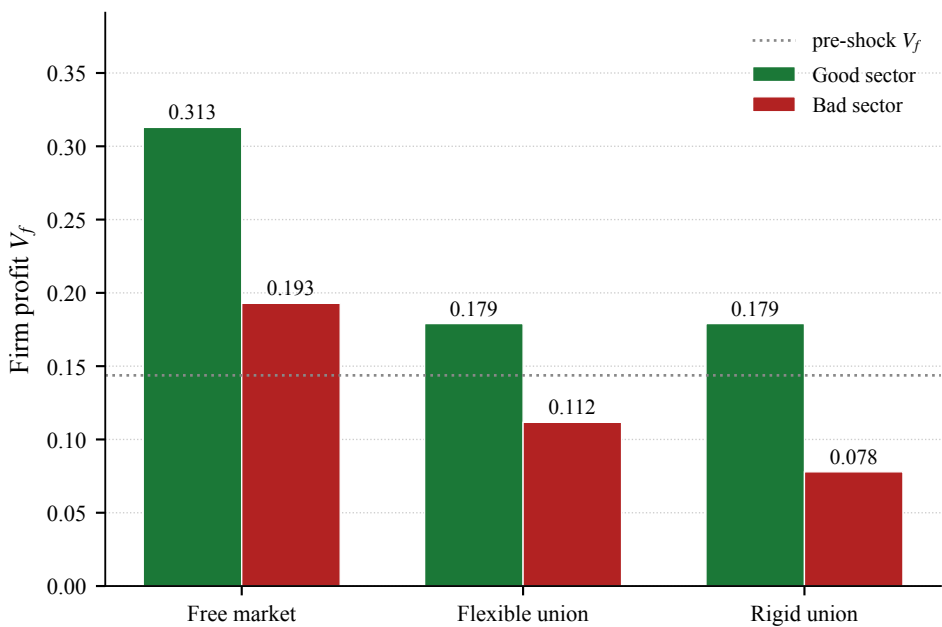


(a) Labour-demand shifts and equilibria**(b) Hours response to $\pm\delta$ shock****(c) Firm profit -- bad sector amplified by rigidity****(d) Welfare verdict: $\eta^* \approx 0.58$ at $\lambda = 0.30$** 